

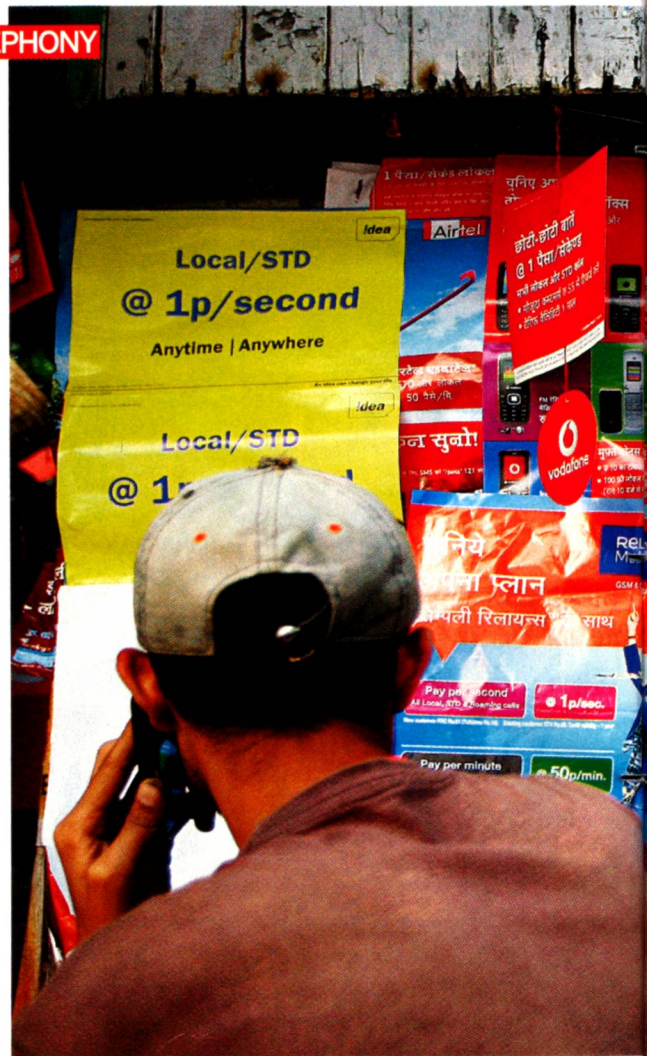
The Seconds COMING

A new rate rings in a tariff war as a new operator goes where none has gone before

By Nandini Vaish

LSridhar, a multi-brand mobile services retailer in Sriperumathur, Chennai, is packing his bags for Bangkok. This is a trip that Tata Docomo is offering him for selling over 500 mobile connections in two months. Sridhar says it was easy, with the company launching its Pay Per Second (PPS) plan on June 24, there was a deluge of buyers. The buzz is that within 10 days of its launch in the city, the company sold two lakh SIM cards. Many retailers were even selling them 'in black'.

The aftershocks were felt across the industry. While overall wireless subscribers surged 25 per cent in the July-September period over April-June, individual operators saw revenues drop. BSNL, which earned between Rs 650 crore and Rs 700 crore every month from Tamil Nadu, saw revenues fall to Rs 600 crore in September. Bharti Airtel, Vodafone Essar and Idea Cellular too saw a fall in new subscribers. Airtel's net subscriber additions fell from 2.8 million to 2.5 million. Tata Teleservices' (TTSL) itself (it combines figures for Tata Indicom, Virgin Mobile and Tata Docomo) saw a sharp spike in Tamil Nadu, Kerala and Orissa in July, where Docomo had been launched, compared to other circles where growth was moderate. Listed companies tripped on the stock market. "We have stirred a hornet's nest," says Deepak Gulati, president, Tata Docomo.



TATA DOCOMO	MTS	Airtel
Local & STD calls at 1 paisa per sec, SMS at 1 paisa per character (pre-paid & postpaid subscribers); no rentals	MTS 10 lakh min of free talk time with a limit of 150 min usage every-day for Rs 499. On PPS plan local MTS-to-MTS calls charged at 1/2 paisa per sec	AIRTEL Advantage plan offers 50 paise per min tariff for calls within Airtel network and 60 paise per min to others. Special 5 allows local calls at 20 paise/min and STD at 50 paise/min to five numbers

What is so special about this plan? The key lies in the way the plan is structured. It charges consumers for their actual usage, down to the last second. So a call lasting 1.23 minutes will be charged for exactly that, and not two minutes. Also, Tata Docomo is offering a rate of 1 paisa per second, which is really the bone of contention. Vodafone's Chief Marketing Officer Kumar Ramanathan calls it "unsus-

tainable". This has brought tariffs crashing as big operators were selectively offering Rs 50 paise per minute.

The industry may pooch-pooch the plan, but practically every mobile operator followed. Within weeks of Docomo's launch, Airtel announced its own pay per second plan, while MTS, the mobile division of Sistema Shyam TeleServices, followed suit with a 1/2 paisa per second offer.